Pre-entry Risk-path Matching: Full Samples

Baseline weighted PSM-DID / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	-0.100***	-0.038**	-0.083**	-0.126***
	(0.029)	(0.016)	(0.041)	(0.035)
p	0.0006	0.0207	0.0440	0.0004
Observations	1,763	1,763	1,763	1,763

Baseline weighted PSM-DID / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	-0.064**	-0.108**	-0.036
	(0.025)	(0.046)	(0.023)
p	0.0101	0.0186	0.1143
Observations	1,763	1,763	1,763

Pre-entry risk-path weighted PSM-DID / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	-0.053*	-0.002	-0.004	-0.050
	(0.028)	(0.013)	(0.042)	(0.039)
p	0.0561	0.8559	0.9306	0.1987
Observations	1,748	1,748	1,748	1,748

Pre-entry risk-path weighted PSM-DID / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	-0.005	-0.004	-0.001
	(0.030)	(0.048)	(0.028)
p	0.8698	0.9330	0.9594
Observations	1,748	1,748	1,748

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.